

want to get fixated on always needing a nice story for the trade. I am an empiricist at heart. The unfolding reality trumps everything.

I believe in hypothesis testing. The hypothesis is that something big is happening. I don't know what it is, but it is so powerful that it will carry on for a long time. I should participate in this. But I will do it in a way that is liquid so that if it turns around again, I can get out quickly. If I am wrong, I will have a limited loss. If I am right, who knows what could happen.

Going back to the housing and financial bubble of 2005 to 2007, you originally participated in the bubble. How did you handle the transition to the subsequent market collapse?

I'll ask you a question: "When did the financial crisis start?"

That's a difficult question to answer. There are multiple possible starting points. You could say it was the beginning of the housing price decline in 2006, although there was no market response to that at the time. In fact, even Countrywide, who was the poster child for toxic mortgage issuers, went on to set new stock price highs well after that point. Alternatively, you could say it was the collapse of Bear Stearns, although the market rebounded after that event as well.

So, I'll ask you again: "When did it start?"

Well, that's a squishy question.

Well, since you're refusing to give me any kind of answer [he laughs], I'll give you my answer. Fundamentally, housing prices started to go down in 2006, which didn't start the crisis, but provided a reason for one. The subprime credit indexes started going down in January 2007. Subprime credit is a niche market, and the equity market was ignoring it. Then in July 2007, there was a broad selloff in the credit markets, but it still was considered a contained credit market issue. Equity people tend to trace the start of the financial crisis to the collapse of Bear Stearns in March 2008. For me, the true start of the financial crisis was in August 2007 when money markets stopped working. Basically, banks didn't trust other banks. That was the month the world broke, and no one noticed.

How did you see the money markets breaking down?